patent protection or geographical advantages or favorable labor conditions which may not endure.

Value of Data Varies with Type of Enterprise. Most important of all, the analyst must recognize that the value of a particular kind of data varies greatly with the type of enterprise which is being studied. The five-year record of gross or net earnings of a railroad or a large chain-store enterprise may afford, if not a conclusive, at least a reasonably sound basis for measuring the safety of the senior issues and the attractiveness of the common shares. But the same statistics supplied by one of the smaller oil-producing companies may well prove more deceptive than useful, since they are chiefly the resultant of two factors, *viz.*, price received and production, both of which are likely to be radically different in the future than in the past.

Quantitative vs. Qualitative Elements in Analysis. It is convenient at times to classify the elements entering into an analysis under two headings: the quantitative and the qualitative. The former might be called the company's statistical exhibit. Included in it would be all the useful items in the income account and balance sheet, together with such additional specific data as may be provided with respect to production and unit prices, costs, capacity, unfilled orders, etc. These various items may be subclassified under the headings: (1) capitalization, (2) earnings and dividends, (3) assets and liabilities, and (4) operating statistics.

The qualitative factors, on the other hand, deal with such matters as the nature of the business; the relative position of the individual company in the industry; its physical, geographical, and operating characteristics; the character of the management; and, finally, the outlook for the unit, for the industry, and for business in general. Questions of this sort are not dealt with ordinarily in the company's reports. The analyst must look for their answers to miscellaneous sources of information of greatly varying dependability—including a large admixture of mere opinion.

Broadly speaking, the quantitative factors lend themselves far better to thoroughgoing analysis than do the qualitative factors. The former are fewer in number, more easily obtainable, and much better suited to the forming of definite and dependable conclusions. Furthermore the financial results will themselves epitomize many of the qualitative elements, so that a detailed study of the latter may not add much of importance to